SALES PERFORMANCE REPORT

Global Superstore

DIVYA NISTALA

220658043

ST2187- Business Analytics, Applied Modelling and Prediction

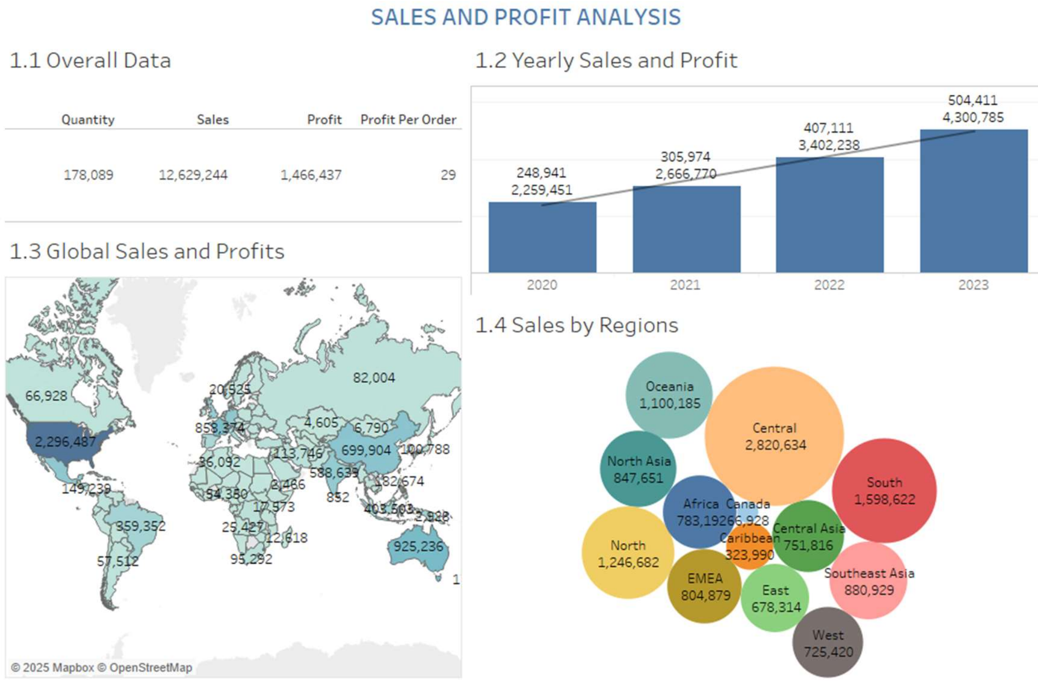
EXECUTIVE SUMMARY

This report was created as a comprehensive review for a global superstore organization, to evaluate its overall business performance and improve operations. The superstore has experienced consistent growth and specializes in providing a variety of products, such as technology, office supplies, and furniture. It has also expanded into regions outside the US, including Asia, Africa, the European Union, Canada, and Latin America. This substantial expansion over time warrants a deeper look into the superstore's workings and will provide senior management with insight into trend analysis to engage in decision-making and the development of solutions to raise operational productivity and profitability. Using Tableau visualizations for improved comprehension and comparison, the report will examine the sales, profits, profitability, and other certain metrics of the various products.

This report will consist of 5 dashboards, each containing a certain focus analysis. The first dashboard is a succinct summary of the superstore's current performance across all markets and regions globally. This will provide a better insight of which regions are performing or struggling. The research will then look at the product profitability across regions. This will illustrate how each product category is performing globally. The third dashboard dives into the performance of a particular region, Asia, which highlights overall product performance in that specific region. The report then analyses the relationship between rejection orders and shipping costs in Asia, to flag out which products and factors are causing the highest losses and to provide a predicted solution. Finally, the last dashboard showcases a What-If Analysis to illustrate the current performance of products in Asia against a predicted performance, given that losses have been cut in the long run. Management will be given recommendations on how to address subpar performance in the market and in the products.

TABLE OF CONTENTS

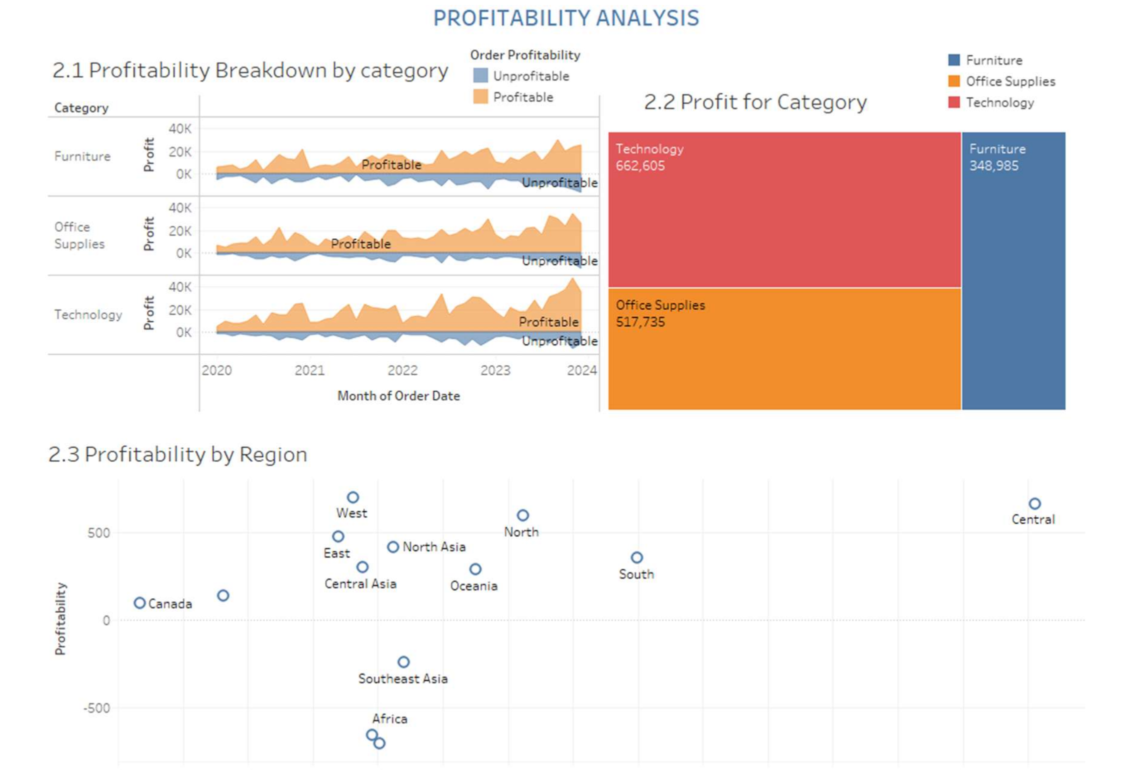
Overview of Sales and Profit Analysis



The data above illustrates the performance of the superstore globally across different markets and regions. Figure 1.1 shows that from 2020 to 2023, the store has made total sales of $12,629,244 worldwide. The total profit of $1,466,437 also shows that the market extension to various regions has benefited them. In Figure 1.2, the trend line depicts a steady sales and profit growth yearly from 2020 to 2023, and this steady growth is only expected to keep growing. Figure 1.3 shows that the US is leading globally with sales of $2,296,487, and Australia coming in second with sales of $925,436. This explains why the Central region capitalizes on sales, as shown in Figure 1.4. However, it also illustrates how the Asian regions are lacking with the lower sales numbers. This discrepancy creates the need to further investigate why some regions are thriving and lacking.

This report will further delve into the specifics of the regions and products to better understand why they are performing in the ways they are.

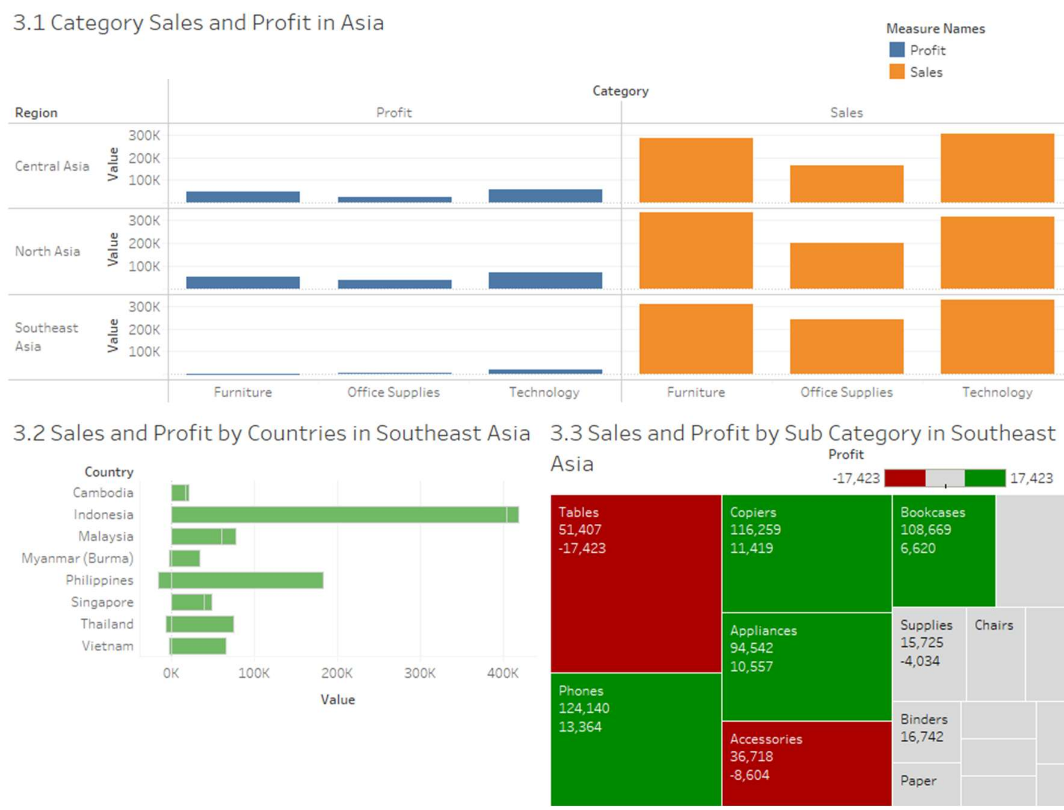
Profitability Analysis



This profitability analysis dives into profitability by product category and region to gauge the performance of products over the years. Figure 2.1 shows the breakdown of profitability from 2020 to 2023, with Technology and Office Supplies being the most profitable and Furniture being the least. However, the profitability in 2020 has a stark contrast to 2023, with the area of profitability being much higher in 2023. This coincides with the COVID-19 pandemic in 2020, which saw the increase in working from home. Figure 2.2 shows that Technology and Office Supplies brought in profits of $662,605 and $517,735 respectively, while Furniture was behind with only a profit of $348,985. This shows that offices were supplying their employees with technology and office supplies for ease of convenience as these items were most prevalent during working from home period, while furniture sales remained stagnant.

Figure 2.3 shows the scattered profitability of Asian regions, which further supports the analysis from the first dashboard that the inconsistency among regions needs to be investigated. The report will now dive into Asia-focused analysis to document the investigation.

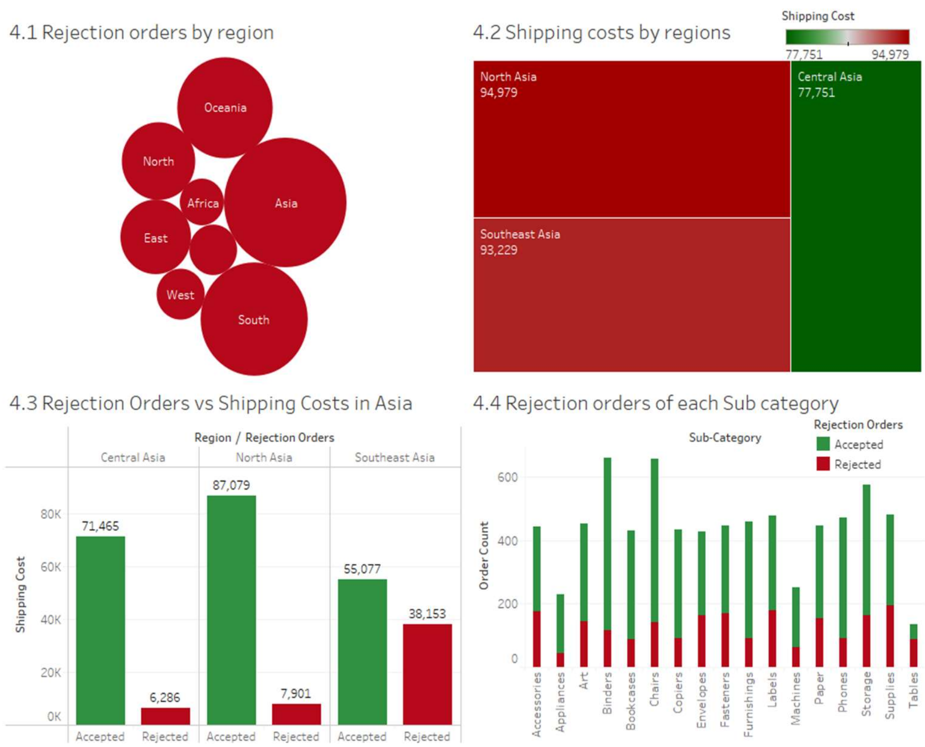
Sales and Profit Analysis – Asia



Here, we divert our focus to Asia, as seen from the data above. Figure 3.1 compares category sales and profit among Central, North, and Southeast Asia. Southeast Asia has the highest sales of product categories, adding up to $880,929, yet the lowest profit of only $18,958 and a profit margin of 2.15%. This could be due to the negative profit of Tables as shown in Figure 3.3, with the highest loss of $17,423. The poor performance of Southeast Asia could also be explained by the dominance of sales from Indonesia of $403,503, yet only a profit of $15,473. This makes its profit margin a minimal 3.83%. Though Indonesia capitalizes on the sales, it does not match up with its profits, thus dragging down the performance of Southeast Asia.

Overall, this suggests that other costs in Southeast Asia are high compared to its sales revenue. The report will discuss next the factors of these high costs.

Analysis of Rejection Orders and Shipping Costs



This dashboard explores the costs that could be contributing to high losses in Southeast Asia. Figure 4.1 shows that Asia has the biggest bubble, meaning it has the highest volume of rejection orders globally. Figure 4.2 delves into regions to reveal that Southeast Asia has the second highest amount of shipping costs at $93,229. This is supported by Figure 4.3 which illustrates that Southeast Asia has the highest shipping costs of rejection orders at $38,153, which makes around 40.9% of its shipping expenditures being wasted on orders that are rejected. Figure 4.4 supports the earlier idea of Tables being the least profitable as it highlights the ratio of rejected to accepted orders of Tables, with around 64.4% of orders being rejected. This further explains why Southeast Asia suffers from low profits due to its unnecessary losses. Such findings also provide evidence to support the investigation from the previous dashboard to prove that high shipping costs of rejected orders and unprofitable products do add up and eventually lead to lower sales revenues.

Thus, the report will carry on with a predicted analysis to depict how a simple solution may assist in bettering sales revenue.

What-If Analysis- What if Shipping Costs are lowered

Given that high shipping costs are the contributing factor to discrepancies in sales revenue across Asia, a ***What-If analysis*** proves useful in testing simple solutions. We can modify the lowering percentage of shipping costs to forecast the projected profits against current profits in Southeast Asia, the Asian region with the highest sales numbers yet lowest profit returns. This is shown in Figure 5.1. Currently, the average profit over the years stands at around $4740, but what if the shipping costs are lowered by 20%? The projected profit is illustrated by the green line graph which shows a significant and steady increase in profits, with an average projected profit of around $9401. This shows that a decrease in shipping costs of 20% would notably improve profits in Southeast Asia. Since Southeast Asia is the largest contributor of

Asia, it can be predicted that its boost in profits would thus impact Asia overall. This is supported by Figure 5.2 which compares the current profit trend in red with an average profit of around $79,124, with the projected profit trend in green with an average projected profit of $92,422. However, it must be highlighted that other variables, such as sales volume, were not considered when running the prediction analysis. Hence, this ***What-If analysis*** proves that a 20% drop in shipping costs would drastically benefit the performance of Asia overall.

Recommendations

Based on the overall analysis, the first recommendation is for senior management to focus on lowering shipping costs by 20%. This can be done best by combatting rejection orders as the data in this report has proven that these costs significantly burden the superstore's expenditure. We can do so by updating the store's return policy to charge between $5-$15 for returns, depending on item size and value. Another way is to conduct thorough quality checks before shipping, to lower risks of defects or dissatisfaction. These will deter unnecessary returns, in turn reducing rejection orders. Since Asia has the most scattered profits and disparities, a 20% drop in shipping costs would not only boost sales and profit in Asia, but the global performance of the superstore as well due to Asia being a large contributor. This was proven by the ***What-If analysis*** conducted earlier.

Another recommendation is to draw attention to lesser-performing products, such as Tables. This could be done by modernizing the designs and aesthetics or offering customizations such as adjustable heights, materials, or finishes. Being able to personalize a product to one's taste would intrigue and attract customers and would also reduce the likelihood of returns. Boosting the sales of unprofitable items would help improve profit margins over time, thus solving sales and profit discrepancies among products.

Conclusion

In conclusion, the overall performance of the global superstore is satisfactory. It has benefitted from steady growth and market expansion and exhibits positive returns in the long run. The thorough market analysis conducted aims to provide senior executives with a better understanding of the superstore's workings. It also presents recommendations supported by extensive data analysis to highlight areas for improvement and potential opportunities, particularly in Asia, where sales and profits are currently inconsistent and improvements are essential.

WORD COUNT: 1247